Economics - Graduate Level Assessment 1 Total Marks: 40 Answer all questions.

Multiple Choice (10 marks)

1. If a monopsony labor market suddenly were transformed into a perfectly competitive labor market, how would the wage and employment change?
   (a) The wage would decrease, but employment would remain constant.
   (b) Both would increase.
   (c) Both would decrease.
   (d) The wage would remain constant, but employment would increase.
   (e) The wage would increase, but employment would remain constant.

2. A bilateral monopoly exists when
   (a) a monopsony competes with a monopoly
   (b) a monopsony buys from a monopoly
   (c) a monopolist sells two different types of goods
   (d) two monopolies sell to a single consumer
   (e) a monopoly competes with a monopsony

3. What is meant by "economic resources" or "factorsof production"? Name three categories of resources.
   (a) Capital, commodities, and currency
   (b) raw materials, human resources and technology
   (c) natural resources, artificial resources and human resources
   (d) Water, oil, and minerals
   (e) Intellectual property, workforce, and real estate

4. Which of the following is NOT a feature of continuously compounded returns (i.e. log-returns)?
   (a) They can be interpreted as continuously compounded changes in the prices
   (b) They can be added over time to give returns for longer time periods
   (c) They can be added across a portfolio of assets to give portfolio returns
   (d) They are usually fat-tailed

5. Suppose transfer payments are greater than Social Security contributions corporate taxes and retained earnings combined. In that case
   (a) NDP will be greater than GDP.

(b) NI will be greater than GDP.
(c) PI will be greater than NI.
(d) DPI will be greater than PI.

True / False (10 marks)

Answer True or False

6. True or False: An increase in investment of $100M is necessary to realize a $300M change in inc
7. True or False: The fixed effects panel model is also known as the pooled cross-sectional model i
8. True or False: An increase in government spending with a corresponding increase in taxes will si
9. True or False: The number of pages in a book can be adjusted in the long run, reflecting the flexi
10. True or False: The 2SLS (Two-Stage Least Squares) method is a valid estimation technique for c

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Discuss the conditions necessary for establishing bi-directional feedback in a VAR model, focusing on the significance of the b and d coefficients. Analyze their implications for economic interpretation.
12. Discuss how a standard GARCH(1,1) model captures features such as fat tails and volatility clustering in financial asset return time-series, and analyze their implications for risk management.

End of Paper